We have seen that in 1765, the East India Company acquired the *Diwani,* or control over the revenues, of Bengal, Bihar and Orissa. Initially, it made an attempt to continue the old system of revenue collection though it increased the amount to be collected from Rs 14,290,000 in 1722 and Rs 18,180,000 in 1764 to Rs 23,400,000 in 1771. In 1773, it decided to manage the land revenues directly. Warren Hastings auctioned the right to collect revenue to the highest bidders. But his experiment did not succeed. Though the amount of land revenue was pushed high by zamindars and other speculators bidding against each other, the actual collection varied from year to year and seldom came up to official expectations. This introduced instability in the Company's revenues at a time when the Company was hard pressed for money. Moreover, neither the *ryot* nor the zamindar would do anything to improve cultivation when they did not know what the next year's assessment would be or who would be the next year's revenue collector.

It was at this stage that the idea first emerged of fixing the land revenue at a permanent amount. Finally, after prolonged discussion and debate, the Permanent Settlement was introduced in Bengal and Bihar in 1793 by Lord Cornwallis. It had two special features. First, the zamindars and revenue collectors were converted into so many landlords. They were not only to act as agents of the government in collecting land revenue from the *ryot* but also to become the owners of the entire land in their zamindaris. Their right of ownership was made hereditary and transferable. On the other hand the cultivators were reduced to the low status of mere tenants and were deprived of long-standing rights to the soil and other customary rights. The use of the pasture and forest lands, irrigation canals, fisheries, and homestead plots and protection against enhancement of rent were some of the rights which were sacrificed. In fact, the tenantry of Bengal and Bihar was left entirely at the mercy of the zamindars. This was done so that the zamindars might be able to pay in time the exorbitant land revenue demand of the Company. Second, the zamindars were to give 10/11th of the rental they derived from the peasantry to the state, keeping only 1/11th for themselves. But the sums to be paid by them as land revenue